CONFIDENTIAL INTERNAL COMMUNICATION
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Cost Allocations

This Standard Operating Procedure (SOP) provides guidance for allocation accounting.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. ALLOCATION SEQUENCING

1) The sequencing of allocations must be made as follows:

   a. Payroll Taxes Employee Related Expenses (PTER) – only if cannot be posted directly to relevant departments
   b. Food Cost Allocation
   c. Beverage Cost Allocation
   d. Team Member Cafeteria*
   e. House Laundry
   f. F&B Admin / Kitchen / Stewarding*

*Allocation sequence may change depending on costs included in these departments.

2) Hotels must perform all applicable allocations in the General Ledger system before transmission to Hotel budgeting / forecasting system.

3) It is recommended that allocations are set for automatic calculation, distribution, and posting within the General Ledger system where this ability exists. Manual calculations and posting may be utilized if this is not practical or feasible.

B. PAYROLL TAX AND EMPLOYEE RELATED (PTER) EXPENSE

1) Hotels should where possible directly post all expenses relating to Payroll Taxes and Employee Related Expenses (PTER) to the relevant individual department / accounts. Due to multiple payroll systems utilized throughout Hilton globally and the constraints of some of these systems to provide this level of detail, Hotels may choose to use an allocation method. This process should include approval by the Regional VP of Finance or Regional Finance Director, as needed depending on region. As part of the allocation method, all PTER costs should be posted to the allocated PTER department 11256/169.

2) The PTER allocation must be calculated as a percentage of the total departmental salary and wage expense and then allocated by crediting each individual account within the PTER department and debiting each relevant department and account code. The PTER Department will result in an overall zero balance and should have zero balances within each account.

C. FOOD & BEVERAGE DEPARTMENTS

All outlets that provide food and beverage (F&B) service must receive the relevant portion of cost of sales, payroll, and other expenses via an allocation. Costs that can be attributed specifically to an outlet should be charged directly to that outlet rather than allocated.

Generally, F&B cost centers (kitchen, stewarding, and F&B administration departments) need to be fully allocated to F&B revenue departments (i.e., outlets, banquets, Room Service, and Minibar) using the methodology below:

Note: 1. As defined by USALI, Total Food and Beverage Revenue is calculated by summing Total Food Revenue and Total Beverage Revenue and subtracting Allowances, and does not include Other F&B Revenue.

2. Any departments that are not serviced by the allocating departments should not have costs allocated.

1) **F&B Administration - Department 11195/49**
F&B Management payroll expense charged to the F&B Admin department and subsequently allocated to the F&B revenue departments using the percentage share of Total Food & Beverage Revenue* method.**Coding for F&B Administration Allocations:**

		Account / Department
Payroll	Credit	720122/39922 FB Admin Allocation / Department 11195/49
	Debit	720122/39922 FB Admin Allocation / Relevant Departments

2) **Kitchen - Departments 11171-11185/60 – 66, 360 - 367**
   a. All outlets that provide food service must receive the relevant portion of the kitchen expenses via an allocation. Costs that can be attributed specifically to an outlet should be charged directly rather than an allocation.
   b. Food Cost charged to Kitchen department and allocated to the F&B revenue departments using the percentage share of Food Revenue method.
   c. Beverage Cost charged to Kitchen department and allocated to the F&B revenue departments using the percentage share of Beverage Revenue method.
   d. Payroll and Other Expenses charged to Kitchen department and allocated to the F&B revenue departments using the percentage share of Food Revenue method.
   e. Note: There is no Food Cost or Beverage Cost charge to Kitchen in GCM Region.

Coding for Kitchen Allocations (see Allocation method above):

		Account / Department
Food Cost	Credit	511010/18000 COS Food / Kitchen Departments
	Debit	511010/18000 COS Food / Relevant Departments
Bev Cost	Credit	512035/19035 COS Other Beverage / Kitchen Departments
	Debit	512035/19035 COS Other Beverage / Relevant Departments
Payroll	Credit	720120/39901 Kitchen Allocation / Kitchen Departments
	Debit	720120/39901 Kitchen Allocation / Relevant Departments.
Other Expense	Credit	720120/39901 Kitchen Allocation / Kitchen Departments
	Debit	720120/39901 Kitchen Allocation / Relevant Departments

3) **Stewarding - Department 11170/65**
Stewarding costs allocated using a percentage share of Total Food &Beverage Revenue* method. Allocations are to only be made to outlets that utilize stewarding services. Stewarding costs include Payroll and Other Expenses.

Coding for Stewarding Allocations (% share of Total Food and Beverage Revenue method):

		Department
Payroll	Credit	720121/39921 Stewarding Allocation / Department 11170
	Debit	720121/39921 Stewarding Allocation / Relevant Departments
Other Expense	Credit	720121/39921 Stewarding Allocation / Department 11170
	Debit	720121/39921 Stewarding Allocation / Relevant Departments

D. OTHER DEPARTMENTAL

1) Team Member Cafeteria - Department 11250/34

a) The cost of the Team Member Cafeteria department needs to be allocated to all other departments with personnel costs on an equitable basis (i.e., FTE, hours worked, etc.).
b) Where hotels do not maintain a full accounting P&L for Team Member Cafeteria, (i.e., do not account for payroll, cost of sales, and expenses on a line-by-line basis,) a simplified method may be used. For example, a fixed cost per Team Member per day may be determined as the estimated cost of providing Team Member cafeteria meals. If a simplified method is used, the cost must first be charged to Team Member Cafeteria department and then allocated to the relevant departments.
c) Prior to allocating the Team Member Cafeteria department, the Food Cost component needs to be charged to the Team Member Cafeteria department.
d) In the event a Team Member, contractor, or other third party utilizing the Cafeteria reimburses the hotel for any portion of their meal, this portion must be credited to the Team Member Cafeteria department.
e) Any expenses born by the employer for the provision of this benefit, such as sales tax, income tax, etc., are to be charged to Team Member Cafeteria department.
f) 100% of the Team Member Cafeteria department must be cleared by crediting 'Employee Cafe Allocation' account and debiting 'Employee Cafe Allocation' accounts in the relevant departments, resulting in a zero month-end balance in Team Member Cafeteria department.

Coding for Team Member Cafeteria Department Allocations

		9.2 Account / Department
Add Food Cost	Credit	Relevant account / Department
	Debit	720131/17940 COS Team Member Café / Department 11250
Meal reimbursements	Credit	561290 /07941Team Member Meals / Department 11250
Sales Tax / other costs	Credit	565030/25010 Payroll Taxes Other / Department 11250
To Clear Department	Credit	720130/39909 Employee Café Allocation / Department 11250
	Debit	720130/39909 Employee Café Allocation/Relevant Departments

2) In-House Laundry - Department 11249/32

a) This department is only used when the hotel has an in-house laundry operation. When laundry is outsourced, supplier invoices are to be charged directly to the departments and outsourcing expenses may need to be allocated. The department must be cleared to a zero month-end balance.
b) The cost of the In-House Laundry department needs to be allocated to all other departments with laundry costs on an equitable basis (e.g., cost per pound, per kilo, per piece or an estimated basis).

Coding for In-House Laundry Allocations:

		9.2 Account / Department
To Clear Department	Credit	720140/39903 Laundry Allocation / Department 11249
	Debit	720140/39903 Laundry Allocation / Relevant Departments

E. ADDITIONAL ALLOCATED DEPARTMENTS GUIDANCE

1) Other Allocated Departments should only be used in rare instances where a standard Allocated Department is not available. Prior written approval must be obtained from the Regional VP of Finance or Regional Finance Director when using these departments. The request must clearly state the intended usage, included departments, accounts, and impacted sequencing.

2) As with all other allocated departments, this department must be zero at month end.

F. AREA / REGIONAL COST CENTERS

1) For administrative tracking, Area/Regional cost centers may be maintained on the Hotel books using appropriate Departments, and cross-charged to relevant entities at month end.

2) An Area/Regional cost center can only be used if written approval is received from the regional VP of Finance or Regional Finance Director.

For entities receiving above costs, the expenses should be booked under the following accounts:

	Account
National Sales Office Payroll	720240/39914 Area Cluster Allocation
National Sales Office administrative costs	720240/39914 Area Cluster Allocation
Regional Co-op initiatives	720241/34593 Reg Co-op Initiative Allocation
E-commerce allocation	720242/34594 Ecommerce Allocation
RMCC costs	670105/39113 RMCC Fees
Shared Services Costs	544040/39917 / Relevant Department
Other Payroll costs	720240/39914 Area Cluster Allocation
Other non-Payroll costs	720240/39914 Area Cluster Allocation